MCA Fast-Track Mergers and Regulatory Exemptions for Small Enterprises

Issuing Authority: Ministry of Corporate Affairs, Govt. of India

1. Fast-Track Mergers under Section 233

Small Companies (turnover up to Rs. 40 Cr, paid-up capital up to Rs. 4 Cr) and Startups can merge with other small companies through the fast-track mechanism under Section 233 of the Companies Act, 2013. The process completely bypasses lengthy, expensive approvals from the National Company Law Tribunal (NCLT) and requires only sanction from the Regional Director (RD).

2. Board Meeting Relaxations for MSME Corporates

Small Companies, One Person Companies (OPC), and Section 8 micro-entities need to conduct only two board meetings a year with a minimum 90-day interval between meetings, reducing board compliance friction by 50% compared to large public corporations.

3. Exemption from CARO (Companies Auditor's Report Order)

Small companies, private companies having paid-up capital and reserves not exceeding Rs. 1 Crore, and borrowings below Rs. 1 Crore from banks are strictly exempt from the mandatory CARO audit compliance reporting order.

4. Exemption from Internal Financial Controls (IFC) Reporting

Auditors of private small companies with turnover below Rs. 50 Crore are exempt from reporting on the adequacy of Internal Financial Controls over Financial Reporting (ICFR), significantly decreasing statutory audit fees for micro and small enterprises.